

It is very important not to forget one of the most important traditional investment tools. If you do not have a PPF account after 6–12 months of starting your financial freedom plan, you are missing out on this tool.

In fact, if you open this account from Day 1 of your journey, you will never regret your decision.

Some of the good practices you can adapt with your PPF Account are as below:

- The financial year in India starts on 1st April. Invest, if you can, to the maximum limit allowed in a PPF account within the first week or the first month, whichever is feasible in your case.
- As of writing this book, the limit of investment in a PPF account is ₹150,000 per financial year. Make sure you complete this quota before investing in any new FDs, RDs or any other tool.
- Most banks today that offer you a PPF account also offer the same facility online if you have a savings account with the same bank. I maintain an online savings and a PPF account with the State Bank of India.
- Since you cannot transfer funds to your PPF account directly from any other bank, it makes sense to have a savings account with an online facility and a PPF account with the same bank/branch. Once you have this arrangement, it is easy to transfer funds online from any bank to your bank's savings account and then to your PPF account.
- Never take the money out of PPF account till you are at least financially free, though the bank will allow you to withdraw a part of the funds after 5 years. In fact, you should never take money from your nest egg (any investment tool or asset class) till you attain financial freedom! That is where the power of compounding interest can be truly realized; otherwise it is extremely easy to stay trapped in this 'rat race'

Retirement benefits (EPF/Gratuity/Superannuation)